

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

PELTON INTERACTIVE, INC., *Complainant*

v.

FLEXPORT INTERNATIONAL LLC, *Respondent*.

DOCKET NO. 24-19

Served: December 9, 2025

ORDER OF: Mary Apostolakos HERVEY, *Administrative Law Judge*.

ORDER ON RESPONDENT’S MOTION TO STRIKE EXPERT REPORT OF GREGORY E. SMITH

This matter came on for consideration on: 1) Respondent’s Motion to Strike Expert Report of Gregory E. Smith and supporting exhibits A-C filed September 16, 2025, which seeks to strike Mr. Smith’s supplemental expert report; and 2) Peloton, Inc.’s Opposition to Respondent’s Motion to Strike Supplemental Expert Report of Gregory E. Smith and supporting declaration with exhibits 1-10 filed October 8, 2025¹, but not docketed until November 13, 2025, due to the lapse in appropriations. (Dkt. 92 and 99.) For the reasons set forth below, Respondent’s motion to strike is denied.

I. Introduction

On May 3, 2024, the Verified Complaint was filed. (Dkt. 1.) In the complaint, Complainant alleges that Respondent violated 46 U.S.C. §§ 41102(c), 41104(a)(14), and 41104(a)(15) and 46 C.F.R. §§ 545.4 and 545.5 on store door shipments from 2020 through 2023. Complainant alleges that Respondent failed to properly perform inland transportation obligations on these shipments resulting in damages, including demurrage, detention, and related charges.

Complainant filed an amended complaint in response to Respondent’s motion to dismiss, which was denied. (Dkt. 13, 14, and 15.) Respondent then filed its verified answer and affirmative defenses. (Dkt. 16.) Thereafter, the parties filed an unusually high number of dispositive and non-dispositive motions to resolve substantive, procedural, and discovery disputes followed by multiple requests to extend the original deadlines in the scheduling order served November 8, 2024. (Dkt.19.) This resulted in the issuance of numerous orders extending previously established deadlines. (Dkt. 26, 29, 39, 45, 47, 62, 72, 77, 85, 87, 94.)

A review of the extensive prehearing record evidences an unwillingness and/or inability of counsel for the parties to work cooperatively with one another to comply with the orders

¹ The opposition was timely filed in accordance with the deadline established in the Order on Complainant Peloton Interactive, Inc.’s Expedited Second Cross-Motion to Strike served September 22, 2025. (Dkt. 94.)

entered in this proceeding, to fulfill their mutual obligations to work diligently to narrow the issues for hearing, and to extend to one another customary professional courtesies accorded to opposing counsel. This unpleasant history sets the stage for disposition of the motion presently under consideration in which Respondent moves to strike the supplemental expert report of Complainant's damages expert Gregory E. Smith. It is also the basis of my finding that neither party is faultless for their failure to complete discovery in accordance with the deadlines established in the scheduling order as amended.

II. Argument of the Parties

Respondent argues in its motion that the supplemental expert report of Gregory E. Smith should be stricken for the following reasons: 1) it was untimely served two weeks after the deadline established in the second amended scheduling order to submit expert rebuttal reports; 2) it constitutes an opinion as to liability that Mr. Smith, an accountant, is not qualified to offer; 3) it constitutes a prohibited legal opinion; and 4) it is not reliable and fails to satisfy the applicable legal standard required for expert evidence.

Complainant argues in its opposition that: 1) Respondent repeatedly failed to produce all documents responsive to Complainant's document request despite being compelled to do so by an order entered in this proceeding; 2) Respondent did not complete its production of documents until four days after the deadline for the parties to submit expert reports and is therefore responsible for the delay in supplementing the expert report; 3) Complainant supplemented its original expert report within a reasonable timeframe after Respondent's late document production; 4) Complainant produced Mr. Smith for deposition thereafter on the date requested by Respondent's counsel; 5) Respondent's counsel did not appear for deposition on the date he had requested but Mr. Smith nonetheless waited for three hours during which time he was available to be deposed; 6) Mr. Smith's supplemental report constitutes permissible damages opinions; and 7) Mr. Smith's supplemental report is sufficiently reliable under the applicable legal standard.

III. Motion to Strike Standard

Commission Rule 201 requires a party to disclose expert witness testimony by providing a written report containing specified information, including a complete statement of his opinions and their basis. (46 C.F.R. § 502.141(d)(2)). Commission Rule 25 generally provides that the presiding officer has the authority to govern a proceeding. (46 C.F.R. § 502.25). In turn, the presiding officer may order that expert reports must be disclosed during a particular time and sequence the court orders." (*See id*; *see also* 46 C.F.R. § 502.141(d)(4)). Commission Rule 201 also provides that a party must supplement or correct its disclosure "in a timely manner if the party learns that in some material respect the disclosure or response is incomplete or incorrect, and if the additional or corrective information has not otherwise been made known to the other parties during the discovery process or in writing." (46 C.F.R. § 502.141(k)(1)). This rule, which is identical to Rule 26(e)(1)(A) of the Federal Rules of Civil Procedure, however, does not permit a party to introduce new opinions after the deadline under the guise of a supplement. *Plumley v. Mockett*, 836 F. Supp. 2d 1053, 1062 (C.D. Cal 2010) (citation omitted.) This rule "does not give license to sandbag one's opponent with claims and issues which should have been included in the expert witness' report." *Id*.

A presiding officer has wide discretion in fashioning remedies or sanctions for a violation of discovery rules (*See* 46 C.F.R. § 502.150(b)); *see also Wegener v. Johnson*, 527 F.3d 687, 692 (8th Cir. 2008) (citations omitted). When fashioning a remedy, the trial court should consider, *inter alia*, the reason for noncompliance, the surprise and prejudice to the opposing party, the extent to which allowing the information or testimony would disrupt the order and efficiency of the trial, and the importance of the information or testimony. *Id.* Where the exclusion of evidence is tantamount to dismissal of claims, the trial court should consider lesser sanctions. The sanction of dismissal requires a finding of willfulness, bad faith, or fault on the part of the noncompliant party as it is a harsh penalty and should be used sparingly. *See id.* Thus, when non-compliance occurs the ordering court should consider the totality of events and then choose from the broad universe of available sanctions in an effort to fit the punishment to the severity and circumstances of the violation. *Young v. Gordon*, 330 F.3d 76, 81 (1st Cir. 2003) (citation omitted.)

IV. Expert Evidence Reliability Standard

FED. R. EVID. 702 provides that:

A witness who is qualified as an expert by knowledge, skill, experience, training, or education may testify in the form of an opinion or otherwise if:

- (a) the expert's scientific, technical, or other specialized knowledge will help the trier of fact to understand the evidence or to determine a fact in issue;
- (b) the testimony is based on sufficient facts or data;
- (c) the testimony is the product of reliable principles and methods; and
- (d) the expert has reliably applied the principles and methods to the facts of the case.

The trial court has a preliminary gatekeeping function in that it is charged with the task of ensuring that an expert's testimony both rests on a reliable foundation and is relevant to the task at hand. *Daubert v. Merrell Dow Pharmaceuticals, Inc.*, 509 U.S. 579, 597 (1993). This requires the trial judge to make a preliminary assessment of whether the expert's underlying reasoning or methodology is scientifically valid and properly can be applied to the facts at issue. *Id.* This is a flexible approach in which the focus must solely be on the principles and methodology, not on the conclusions they generate. *Id.* Thus, the trial court must determine whether "(a) the expert's scientific, technical, or other specialized knowledge will help the trier of fact to understand the evidence or to determine a fact in issue; (b) the testimony is based on sufficient facts or data; (c) the testimony is the product of reliable principles and methods; and (d) the expert has reliably applied the principles and methods to the facts of the case." FED. R. EVID. 702.

The Supreme Court in *Daubert* set out a list of "general observations" for determining whether expert testimony is sufficiently reliable to be admitted under Rule 702. *Daubert*, 509 U.S. at 593. Those general observations focus on four primary inquiries about the expert's theory or technique: (1) whether it can be (and has been) tested; (2) whether it has been subjected to peer review and publication; (3) what its known or potential rate of error is, and whether

standards controlling its operation exist; and (4) whether it is generally accepted in the field. *Id.* at 593–94. This approach is a flexible one and does not require the application of any particular factor. *Id.* Moreover, the law grants the trial judge broad latitude to determine whether *Daubert*'s specific factors are or are not reasonable measures of reliability in a particular case. *Kumho Tire Co. v. Carmichael*, 526 US, 137, 153 (1999.)

“*Daubert* does not require that a party who proffers expert testimony carry the burden of proving to the judge that the expert's assessment of the situation is correct”; rather, to satisfy *Daubert*'s objective, the proponent must show “that the expert's conclusion has been arrived at in a scientifically sound and methodologically reliable fashion.”

Lawes v. CSA Architects and Engineers LLP, 963 F.3d 72, 99 (1st Cir. 2020) (citation omitted).

Daubert is intended to protect juries from being swayed by dubious scientific testimony. When a trial court sits as the finder of fact, there is less need for the gatekeeper to keep the gate because the gatekeeper is only keeping the gate only for himself. *United States v. Flores*, 901 F.3d 1150, 1165 (9th Cir. 2018) (citation omitted.) For purposes of making a determination on admissibility of an expert report, there is less danger that a trial court will be unduly impressed by the expert's testimony or opinion in a bench trial. *United States v. Brown*, 415 F.3d 1257, 1268-69 (11th Cir. 2005.) Thus, in a bench trial, the court does not err in admitting the evidence subject to the ability later to exclude it or disregard it if it turns out not to meet the standard of reliability established by rule governing admissibility of expert testimony. *Flores*, 901 at 1165.

V. Discussion

Pursuant to the Second Amended Scheduling Order served February 19, 2025, expert reports were due to be filed on April 21, 2025, and responses to expert reports were due to be filed on May 5, 2025. (Dkt. 39.) Respondent argues that Mr. Smith's supplemental expert report should be stricken as untimely on the ground that it was served late on May 19, 2025. Complainant does not contest that its supplemental report was filed late but counters that Respondent is responsible for the delay because it did not produce the documents necessary for the expert to prepare the supplemental report until four days after the deadline for expert reports. Complainant argues that under these circumstances striking the supplemental report is not warranted.

The Declaration of Allison N. Skopec, an attorney representing Complainant in this proceeding, sets forth the relevant timeline of Respondent's production of data downloaded from its CORE platform, which details the status updates for the shipments at issue. (Skopec Decl., Dkt. 100.) It states that Respondent originally claimed as early as December 16, 2025, that a full production had been made on December 13, 2024, with the initial production of a spreadsheet containing 94,198 lines of data (Download 1), but that the production was deficient because Respondent had omitted shipping documentation for the time frame prior to October 2021. (Skopec Decl. ¶¶ 5, 7, 10.)

In the Joint Status Report filed April 4, 2025, Complainant reiterated its concerns with the sufficiency of Respondent's spreadsheet production and Respondent stated that it had or

would provide all responsive documents. (Dkt. 50.) On April 6, 2025, Respondent produced Download 2 containing 179,765 lines of data covering the period of April 2021 to October 2021. (Skopec Decl. ¶ 14.) On April 25, 2025, Respondent produced Download 3 containing 1,656 lines of data covering the period of August 2020 to April 2021. (Skopec Decl. 16.) Thus, Respondent did not finalize production of all relevant data regarding status updates of the shipments at issue until after the April 21, 2025, deadline for the parties to serve their expert reports.

The record shows that Complainant disclosed Mr. Smith as a damages expert on December 19, 2024. (Skopec Decl. ¶ 18.) In the supplemental expert report, Mr. Smith states that in addition to the information considered in his original report he considered the documents listed in Supplemental Appendix B, which includes Respondent's Downloads 1, 2, and 3. (Smith Supp. Report at 2, Respondent's Motion to Strike Exhibit B.)

The record also shows that: on May 21, 2025, Respondent's counsel requested all available dates to conduct Mr. Smith's deposition; on May 27, 2025, Respondent's counsel proposed June 3, 2025, as the only feasible date for the deposition that he was available due to scheduling conflicts; Complainant's counsel later confirmed availability on June 3, 2025, and proposed submitting a brief joint statement to the Presiding Officer; Respondent's counsel failed to respond thereafter to efforts by Complainant's counsel to confirm the deposition and update the Presiding Officer of their intent; Mr. Smith was present for deposition on June 3, 2025, but Respondent's counsel failed to appear during the three hour period Mr. Smith was present at the offices of Holland & Knight; Complainant's counsel determined after the fact that no deposition had ever been scheduled; and when later contacted about his non-appearance Respondent's counsel stated that the deposition had never been confirmed and that proceeding would have violated the scheduling order. (Skopec Decl. ¶¶ 19-35.)

Based on this record, I find that Complainant's late submission of Mr. Smith's supplemental expert report 28 days after the April 21, 2025, deadline was due to Complainant's late production of Downloads 2 and 3 from Respondent's CORE platform. The CORE platform contains highly relevant information that details the status updates for the shipments at issue and provides insight into the reasons underlying any delay in shipment. Because the last tranche of this data was not produced until April 25, 2025, which was four days after the expert report deadline, I find that Complainant's failure to timely submit the supplemental expert report was substantially justified and that the sanction of striking the report is not warranted. Additionally, I find that Respondent waived its right to argue that it is prejudiced by the supplemental report on the basis that Complainant made Mr. Smith available for deposition on the date Respondent's counsel requested but the deposition did not occur because Respondent's counsel failed to appear. Based on the timeline of events outlined in attorney Skopec's declaration, I find that: 1) Respondent's counsel caused opposing counsel to reasonably believe that the deposition would occur on June 3, 2025, and only after failing to appear stated for the first time that the deposition was precluded by the expiration of the discovery deadline; and 2) Respondent's counsel failed to appear on June 3, 2025, despite that he requested that Complainant's counsel provide available deposition dates on May 21, 2025, which was after the May 19, 2025, deadline for the completion for discovery that he later asserted as the rationale for his failure to appear. (Skopec Decl. ¶¶ 17-33; Second Amended Scheduling Order, Dkt. 39.) The behavior of Respondent's counsel constitutes improper sandbagging. Based on the totality of these circumstances, I find

that imposing the severe sanction of striking the supplemental expert witness report is not warranted.

With respect to the admissibility of Mr. Smith's supplemental expert report, Respondent argues that it impermissibly constitutes an opinion as to liability that Mr. Smith, an accountant, is not qualified to offer. Respondent also objects on the ground that it constitutes an improper legal opinion and is unreliable. In response, Complainant argues that the supplemental report contains Mr. Smith's expert opinion quantifying the damages suffered by Complainant as a result of the Shipping Act violations alleged in this proceeding, and that Mr. Smith, a Certified Public Accountant, is competent to render. Complainant further argues that the supplemental expert report is sufficiently reliable to satisfy the admissibility standard established by the Supreme Court in *Daubert*.

As an initial matter, I find that the supplemental report constitutes Mr. Smith's expert opinion as to the amount of damages that Complainant suffered. In this regard, in his summary of opinions Mr. Smith computes damages in the amount of \$33.7 million "assuming Flexport is found liable for its unreasonable practice." (Smith Supp. Report ¶ 6, Motion to Strike Exhibit B.) Thus, the report on its face asserts that liability has been assumed for purposes of the determination as to the amount of damages. This necessarily leads to the conclusion that Mr. Smith is not offering an opinion that Respondent is liable but rather that he is offering an opinion as to the computation of damages if in fact Respondent is liable. Additionally, Complainant's counsel states in its opposition that Mr. Smith was disclosed as a damages expert, performed a financial analysis, and is not being offered as a liability expert. (Opposition at 8-9). I find that Respondent is bound by this statement on the ground that it is an admission of an agent of a party opponent, and that Complainant is prohibited from arguing otherwise on its brief. FED. R. EVID. 801(d).

With respect to Respondent's claim that the supplemental report should be stricken because it is not reliable and Mr. Smith is not competent, I find that the supplemental expert report meets the standard for admissibility set forth in *Daubert* and FED. R. EVID. 702 for the following reasons.

As to Mr. Smith's specialized knowledge and training, the record shows that he: is a Certified Public Accountant; has more than thirty years of accounting experience; has experience quantifying damages in commercial disputes; has conducted damages studies based on various economic damages models including lost revenue/profits, reasonable royalties, diminished business or asset value, and costs incurred; has experience analyzing financial and economic issues related to the operations of companies participating in the transportation industry, including ocean shipping, port operations, and inland transportation; and has experience testifying as an expert on damages before state and federal courts. (Smith Supp. Report ¶ 4, Motion to Strike Exhibit B; Smith Report ¶¶ 3 and 4, Motion to Strike Exhibit A.) I find that this is a sufficient basis for Mr. Smith to assist the finder of fact in calculating economic damages.

As to the information on which Mr. Smith's supplemental report is based, it includes all information produced by both parties in discovery as well as the Events Downloads 1, 2, and 3 produced by Respondent ("Portal Event's Files"). (Smith Supp. Report ¶ 5, Motion to Strike Exhibit B; Smith Report ¶ 6, Motion to Strike Exhibit A.) The record shows that Mr. Smith

performed an analysis of the Portal Event's Files, which was generated by Respondent's primary operating platform on the movement of shipments that Respondent used to monitor and manage the shipments, namely the CORE platform. This includes information such as container tracking numbers, transit schedules, delivery locations, and storage time frames. It also includes information on the events that affected the handling and timing of shipments including why a shipment could not be picked up on the originally expected date, such as lack of chassis or no appointments available at the terminal, and was used by Respondent to determine demurrage and detention charges on invoices. I find that Mr. Smith's use of the data that Respondent used to manage the shipments at issue and determine demurrage and detention charges is sufficient to support his calculation of damages related to these shipments.

As to the reliability of the principles and methods used and application to this case, I find that the supplemental report clearly states the steps Mr. Smith undertook in reviewing the information on the Portal Event's Files and that his approach is logical and constitutes a reasonable method to determine the factual basis for the delays underlying the charges at issue and compute damages accordingly. Mr. Smith ran search terms on the Portal Events Files and then applied a machine learning tool to identify the factual basis for the charges at issue. Supplemental Exhibit 1 contains a list of search terms including: container not empty; "capacity" at various locations; capacity peloton picking freight; peloton picking freight; peloton picking freight reschedule; warehouse capacity peloton; refused; delivery refused; and consignee refused. Supplemental Exhibit 2 contains a list of additional search terms broken down into the following four categories: No Chassis, Inland Carrier Delay; Congestion; and No Appointments. Charges associated with the search terms identified in Supplemental Exhibit 1 were determined to be the responsibility of Complainant. Charges associated with the search terms in Supplemental Exhibit 2 were determined to be the responsibility of Respondent. The supplemental report also details charges for which no cause could be determined and charges with more than one cause, which are referred to as "mixed results" charges. These responsibility determinations were then applied to the list of shipments detailed in Mr. Smith's original expert report. Based on this analysis, Mr. Smith determined that: \$1.7 million of the charges in Exhibit 1 to the original report had mixed results in which both parties were responsible for the delay; \$26 million of the charges in Exhibit 1 to the original report were solely the responsibility of Respondent alone; and \$5.8 million of the charges in the original report had no information as to the basis for delay and were assigned to Respondent on the ground that it was responsible for inland transportation. Based on this analysis, Mr. Smith determined that of the total \$33.6 million in demurrage, detention, and storage charges, Complainant bore no responsibility for \$31.9 million, and Complainant did not bear sole responsibility for \$1.7 million. (Smith Supp. Report ¶¶ 9-20, Motion to Strike Exhibit B.) I find that this analysis of Respondent's primary platform containing information related to the movements of the shipments at issue and used by Respondent to determine detention and demurrage charges to be an appropriate methodology for the computation of damages.

Based on this record, I find as a preliminary assessment that Mr. Smith's underlying reasoning or methodology is scientifically valid and can be properly applied to the facts at issue. *Daubert*, 509 U.S. at 579. As stated in *Lawes*, 963 F.3d at 72, my finding that the report is admissible, however, does not mean that I must accept the conclusions drawn by Mr. Smith. Rather, it merely means that the supplemental report meets the minimal threshold for consideration. Thus, in an administrative proceeding such as this, a presiding officer does not err in admitting the evidence subject to the ability later to exclude it or disregard it if it turns out not

to meet the standard of reliability established by rule governing admissibility of expert testimony. *Flores*, 901 at 1165.

For these reasons, I find Mr. Smith's supplemental report to be admissible subject to my later determination what weight, if any, it should ultimately be given.

VI. Order

Upon consideration of the record and the arguments of the parties, it is hereby

ORDERED that Respondent's Motion to Strike Expert Report of Gregory E. Smith (Dkt. 92) is **DENIED** subject to my ability later to exclude or disregard the supplemental expert report if I ultimately find that it does not meet the standard of reliability established by rule governing admissibility of expert testimony.

MARY A. HERVEY -S

Digitally signed by MARY A.
HERVEY -S
Date: 2025.12.09 14:09:14 -05'00'

Mary Apostolakos Hervey
Administrative Law Judge